

it all in for a telephone hookup and a few scattered terminals, but over-the-counter dealers were delighted to replace pink sheets with computers. Soon, the NASDAQ had leapfrogged over its once-almighty competitors.

The morning I spoke to Mr. Hobbing, the newspapers were full of stories about a Mr. Dennis Levine, an employee of Drexel Burnham Lambert who'd broken the Chinese Wall. The Chinese Wall, as I understood it, was some sort of gentleman's barrier, an invisible bundling board between people who sell stock and other people who work on mergers or banking and learn things that might affect the price of a stock. Talking across this so-called wall was not only ungentlemanly, but also illegal, and that's what Mr. Levine was accused of having done. The papers said that he and some others made a lot of money they shouldn't have made, as a result of their insider trading.

It hadn't yet occurred to me to try any insider trading of my own, but I asked Mr. Hobbing how NASDAQ handled the problem. Mr. Hobbing said the NASDAQ computer warning system made it very hard for insider traders and other such scofflaws to get away with their misdeeds. He volunteered to take me up to NASDAQ's Market Surveillance department on one of the floors above us, where he handed me off to a Bernard Thompson. Mr. Thompson had just begun to show me the office and to describe the compliance system when the alarm bells went off.

It sounded like nuclear attack whistles, and the whoops and shrieks sent various people scurrying to computer command posts and to the teletype machines. "What's happening?" I asked Mr. Thompson. "Parameters," he said. "Parameters must have been broken."

After things quieted down, Mr. Thompson explained that parameters are the regular limits in the up-and-down movements of any stock, which NASDAQ has figured out for its thousands of issues and programmed into the computers. When any stock price suddenly rises above the upper limit or falls below the lower one, and especially when a lot of shares are bought or sold, the alarm is automatically sounded. In this case, the culprit was a stock called Berkshire Hathaway, which was selling for the incredible price of \$2,500 per share, making it the most expensive holding in the